QUICKVIEW

Food

BIMBO A MM

Price
(MXN, as of 25/07/2017)
MXN$47.67

FLOAT
33.26%

BETA (3yr, vs Mexbol)
0.900

MARKET CAP. (MXN MN)
224,202

DL VL TRADED (AV. MXN MN)
100.8

TARGET PRICE
P$44 / Var. TP -7.7%

HOLD

*TP Under Review

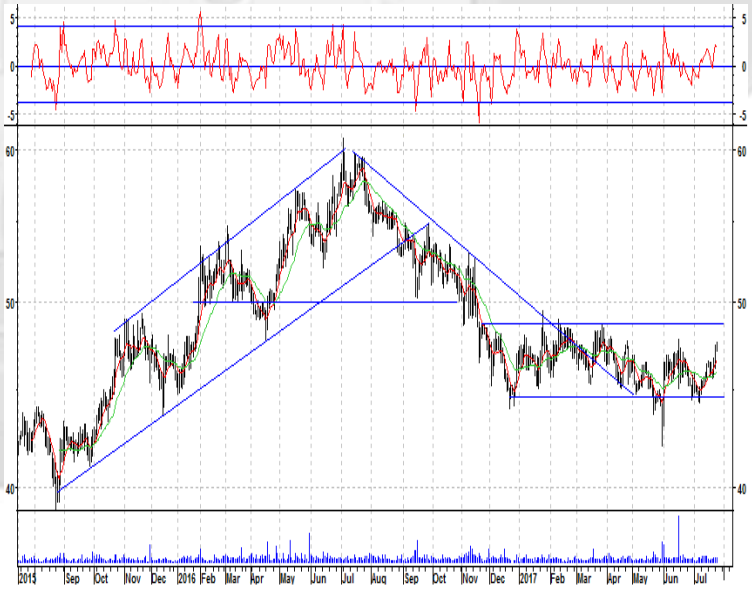
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Q217 Financial Report

WEAK results, despite a stronger than-expected-margin - Bimbo's results seemed weak to us as sales rose 7% YoY; rate that was lower than the previous quarter due a reduced FX benefit on the North American and Latin American operations. In addition, Operatin Income decline by 5.4% YoY.

Stable EBITDA; lower net income - Bimbo's EBITDA margin fell on an annual basis which led to a stable EBITDA as to higher sales, exceeding our expectations. Profit declined 19% YoY due to an operating profit decrease and FX losses, as expected.



	Q217	Q216	Dif (%)
Sales	65,115	61,040	6.7%
Operating Income	4,589	4,853	-5.4%
EBITDA	6,892	6,884	0.1%
Net Income	1,497	1,847	-18.9%

	Q217	Q216	Dif bp
Operating Mgn. (%)	7.0%	8.0%	-90
EBITDA Mgn. (%)	10.6%	11.3%	-69
Profit Mgn. (%)	2.3%	3.0%	-73

Data in million of pesos unless expressed otherwise, sum may vary due to adjustments.

Source: Interacciones and quarteryl company reports

Multiples	2014	2015	2016	LTM
P/E	54.4x	41.8x	35.9x	44.1x
P/BV	3.8x	3.7x	3.0x	3.6x
EV/EBITDA	13.8x	12.1x	9.9x	10.7x

Estimates (MXN mill.)	2014	2015	2016	LTM
Revenues	187,053	219,186	252,141	265,221
EBITDA	18,418	23,369	29,297	29,316
EBITDA Margin (%)	9.8%	10.7%	11.6%	11.1%
Net Income	3,518	5,172	5,899	5,117
Net Margin (%)	1.9%	2.4%	2.3%	1.9%
Net Debt	59,633	63,936	75,686	69,650
Net Debt/EBITDA	3.2x	2.7x	2.6x	2.4x

Source: Interacciones Research and the company

Q217 Financial Report

Sales driven by Mexico and recent acquisitions - Bimbo's consolidated revenues increased 7% (vs. 11.8% E) to MXN$65.1 billion. In Mexico, sales rose 12% YoY due to a higher volume, price adjustments in line with inflation in some categories and the launching of new products. In North America, revenues were up only 2% as a result of a lower foreign exchange benefit, branded portfolio growth and a higher market share. In Latin America, sales remained unchanged thanks to a reduced positive FX effect and lower volumes in Argentina, offset by higher volumes in the Latin American division. In Europe, Asia and Africa, revenues improved 67% due to acquisitions of Donuts Iberia in Spain, Ready Roti in India and Agdhal Group in Morocco.

Slight shrinkage in the gross margin - The gross margin showed a marginal contraction of 20 bp to 54.1%, due to the FX impact on Mexico's raw material costs as well as higher labor and indirect costs in the US. The cost of raw materials in the US was also higher due to a change in the product mix. Consolidated gross profit grew 6% YoY to MXN$35.2 billion.

Stable EBITDA - The consolidated adjusted EBITDA margin decreased 70 bps to 10.6% (vs. 9.1% E) as the result of several factors including: **i)** the integration of Donuts Iberia, Ready Roti in India and Agdhal Group in Morocco; **ii)** integration and restructuring expenses in Argentina, Chile and Brazil; and, **iii)** the temporary closure of two plants in the US. Consolidated adjusted EBITDA remained virtually unchanged at MXN$6.9 billion.

Strong drop in net income - Bimbo's net income declined 19% YoY (vs. -26% E) to nearly MXN$1.5 billion. This underperformance was mainly due to a 5% reduction in operating income in conjunction with higher FX losses. It should be mentioned that the company recorded a charge of MXN$ 54 million in "other expenses" related to the Venezuelan operations.

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BIMBO A: Historic Target Price(s) & Recommendation(s)			
Date of change	12-oct-15	18-sep-14	18-jul-14
Target Price	**P$44.00**	**P$44.00**	**P$220.00**
Recommendation	2	1	2

** Recommendations: 1=Buy, 2=Hold, 3=Sell*